

FORM TP 02025116



TEST CODE 01240020

MAY/JUNE 2025

CARIBBEAN EXAMINATIONS COUNCIL

**CARIBBEAN SECONDARY EDUCATION CERTIFICATE®
EXAMINATION**

PRINCIPLES OF BUSINESS

Paper 02 – General Proficiency

2 hours

READ THE FOLLOWING INSTRUCTIONS CAREFULLY.

1. This paper consists of FIVE questions. Answer ALL questions.
2. Write your answers in the spaces provided in this answer booklet.
3. Do NOT write in the margins.
4. You are advised to take some time to read through the paper and plan your answers.
5. If you need to rewrite any answer and there is not enough space to do so on the original page, you must use the extra lined page(s) provided at the back of this booklet. **Remember to draw a line through your original answer.**
6. **If you use the extra page(s), you MUST write the question number clearly in the box provided at the top of the extra page(s) and, where relevant, include the question part beside the answer.**

DO NOT TURN THIS PAGE UNTIL YOU ARE TOLD TO DO SO.

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01240020/MJ/CSEC 2025



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Answer ALL questions.

1. Barter was the main means of payment utilized in early economies.

(a) (i) Define the term 'barter'.

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(1 mark)

(ii) Outline ONE disadvantage of barter.

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(2 marks)

(iii) State TWO characteristics of money.

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(2 marks)

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- (b) Figure 1 shows a diagram of a cheque.

SUNSHINE COMMERCIAL BANK		No. 007
		April 10, 2025
Pay to the Order of	ABC Traders	\$6 000.00
Six Thousand Dollars		
000 123 456 789 000 000 000		<i>Kimani Clarke</i> Kimani Clarke

Figure 1. A cheque

- (i) Identify the drawer of the cheque in Figure 1.

(1 mark)

- (ii) Identify the drawee of the cheque in Figure 1.

(1 mark)

- (iii) List THREE instruments of payment, other than cheques, used in modern economies.

(3 marks)



(c) Differentiate between EACH of the following pairs of terms.

(i) Private sector and public sector

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(2 marks)

(ii) Private limited companies and public limited companies

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(2 marks)

GO ON TO THE NEXT PAGE

- (d) Explain ONE advantage and ONE disadvantage to the society in a mixed economy when compared with the society in a free enterprise (capitalist) economy.

Advantage

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Disadvantage

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(6 marks)

Total 20 marks

2. (a) (i) List THREE documents utilized in the operations of a business.

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(3 marks)

- (ii) State THREE reasons why it is necessary to keep proper records of business transactions.

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(3 marks)

- (b) Describe EACH of the following types of insurance policies.

- (i) Public liability

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- (ii) Employers' liability

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(4 marks)

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- (c) Define EACH of the following principles of insurance and state ONE example of EACH principle.

- (i) Insurable interest

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- (ii) Indemnity

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(4 marks)

- (d) Mr Cole has a phone that he would like to sell to his 13-year-old neighbour, Raul. He approaches Raul who is very excited about the phone and although the phone is expensive, it is the latest in the series. Raul tells Mr Cole that he could only deposit half of the agreed price and that he would pay the balance at the end of the month, at which time Mr Cole would deliver the phone to him.

Raul's mother hears of the transaction and tells Raul that he recently received a phone and so should not have agreed to purchase another one. She goes to Mr Cole and asks that he immediately return Raul's deposit. Mr Cole bluntly refuses, and insists that he had a contract with Raul and that he would sue for breach of contract if Raul did not go through with the agreement.

- (i) Identify the principle of contract relevant to the case above.

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(1 mark)

- (ii) Explain whether Mr Cole is likely to succeed if he sues Raul.

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(3 marks)

- (iii) Suggest TWO actions the parties could take to peacefully settle the dispute without going to the courts.

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(2 marks)

Total 20 marks

3. (a) Businesses engage in public relations activities to boost their image.

State THREE forms of public relations activities in which businesses engage.

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(3 marks)

- (b) Describe EACH of the following methods of promoting sales.

- (i) Loyalty points

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(2 marks)

- (ii) Bundling

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(2 marks)

(c) Describe EACH of the following marketing activities.

(i) Pricing

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(2 marks)

(ii) Distribution

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(2 marks)

(d) Firms utilize different strategies to determine the price at which products will be sold.

Complete the table below by identifying EACH pricing strategy described in Column 1.

Description	Pricing Strategy
(i) Jus Cool Beverages recently introduced a new line of lemon-based soft drinks with an introductory price below that of similar products.	
(ii) All the bakeries in San Porto sell sugar buns at approximately the same price.	
(iii) The Jazz Festival charges different admission prices for students, adults and seniors.	

(3 marks)

- (e) Examine the advertisement shown in Figure 2.

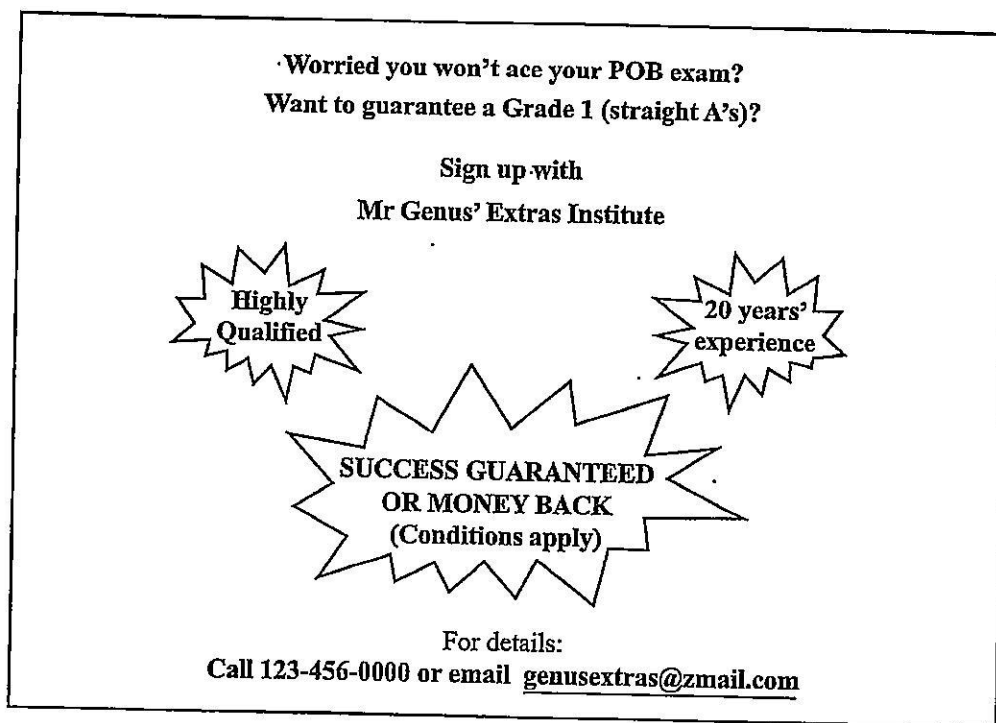


Figure 2. Advertisement

- (i) Name the type of advertising shown in Figure 2.
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- (1 mark)
- (ii) State the MAIN objective of the type of advertising displayed in Figure 1.
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- (1 mark)
- (iii) Identify ONE group being targeted by the advertisement.
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- (1 mark)
- (iv) Suggest ONE effective communications medium that Mr Genus could use to present the advertisement to his target market.
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- (1 mark)

- (v) Outline ONE reason for the communications medium suggested in (e) (iv).

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(2 marks)

Total 20 marks

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4. (a) Outline TWO roles of transportation in the marketing of goods.

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(4 marks)

- (b) Identify the MOST suitable mode of transportation for the movement of EACH of the following products.

- (i) Vaccines from Canada to Grenada

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- (ii) Lumber from the parish of Saint Joseph to the parish of Saint George in Dominica

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- (iii) Statistics on CXC® results from Barbados to Saint Lucia

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- (iv) Crude oil from Trinidad to Tobago

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(4 marks)

- (c) (i) State TWO problems that may be encountered in the distribution of mangoes from the Caribbean to the United States of America.

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(2 marks)

- (ii) Other than the use of global positioning systems (GPS) technology, outline TWO measures that firms could take to reduce some of the problems encountered in the distribution of goods globally.

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(4 marks)

- (d) Queenstown Traders Inc. provides distribution services for a wide range of imported and locally produced goods. The firm has a fleet of ten trucks and the managers want to use global positioning systems (GPS) in the management of the company's transportation.

Explain TWO benefits Queenstown Traders Inc. could gain by utilizing GPS in the management of its transportation.

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(6 marks)

Total 20 marks



5. (a) List THREE financial institutions, other than commercial banks.

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(3 marks)

- (b) List FOUR services offered by commercial banks.

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(4 marks)

- (c) (i) Outline ONE difference between 'savings' and 'investments'.

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(2 marks)

- (ii) Identify ONE form of savings and ONE form of investments.

Savings

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Investments

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(2 marks)

GO ON TO THE NEXT PAGE

- (d) List THREE personal sources of capital that may be used to start a business.

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(3 marks)

- (e) The Banks family is struggling financially. A close family friend advises the family to consider preparing a personal budget.

Explain TWO benefits that the Banks family could gain from preparing a personal budget.

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(6 marks)

Total 20 marks

END OF TEST

IF YOU FINISH BEFORE TIME IS CALLED, CHECK YOUR WORK ON THIS TEST.